

Zhongji Innolight

Capturing fast-growing TAM with strong 1.6T/3.2T NPO leadership; resume coverage at Buy

Multiple positives still ahead; we are constructive

Innolight's stock price has corrected 35% from a peak in late June, mainly on concerns about the sustainability of global AI capex, a potential FCC ban and rising competition we think. Yet we are constructive, as we believe: 1) connectivity remains the bottleneck in AI infra, with spec upgrades critical to further enhance performance; 2) competition for 1.6T is likely to be limited, given Innolight's expertise in high-volume production yield and supply chain management; and 3) NPO and CPO may coexist in the future roadmap, on NPO's flexibility, easier maintenance and open ecosystem, while Innolight likely to be the best positioned among optical transceiver vendors. We estimate an EPS CAGR of 69% in 2026-28, 16ppt/5ppt above those of peers/Reuters consensus, while the stock is trading at 15x/10x 2027E/2028E PE, well below peers'. We view the recent pullback as an attractive opportunity and resume coverage with a Buy rating.

NPO is not just a transitional solution

The industry is looking to move OE closer to the switch/xPU for higher bandwidth, better signal integrity and lower power consumption, and introducing CPO and NPO. Some investors view NPO as a transitional solution before full migration to CPO. However, we are more bullish on NPO and believe pluggables, NPO and CPO will co-exist. We expect Innolight to lead in NPO and capture higher value in the 3.2T NPO era, with its know-how in the SiPh+TFLN process. We expect Innolight to start 3.2T NPO shipments in 2027, with a more meaningful ramp in 2028, first in switch. We estimate 3.2T NPO to contribute 10% of total revenue by 2028, increasing to 30% by 2030.

We have high conviction in solid growth of traditional optical transceivers

We expect strong demand to be driven by spec upgrades, first in switch ASIC and later in NIC for higher bandwidth transmission, increasing GPU/ASIC shipments and more complex networking architecture for larger clusters. We believe Innolight can defend its market share, given its expertise in high-volume production yield and superior supply chain management. A potential FCC ban is an overhang (with the US at c60% of its total sales), although we believe Innolight's overseas manufacturing capacity (c85% of the total) and R&D centers may help mitigate the risk ([more](#)). We estimate Innolight's combined shipments of 800G&1.6T optical transceivers to reach 51m/61m units in 2027/2028, implying a market share of 30-40%.

Valuation: Resume coverage with Buy rating and PT of Rmb1,500

We significantly raise our estimates (old estimates from Nov 2024). We now estimate a 2027-29 EPS CAGR of 27%. We apply 25x 27E PE, ~1 SD above the historical average (vs. peers' c30x) to reach our PT of Rmb1,500. We believe Innolight is worth higher PE as it integrates more chip design from simply a module assembler in the 3.2T era.

Equities

China
Communications Technology

12-month rating **Buy**

12m price target **Rmb1,500.00**
Prior : Rmb188.00

Price (12 Aug 2026) **Rmb921.00**

RIC: 300308.SZ **BBG:** 300308 CS

Trading data and key metrics

52-wk range	Rmb1,382.33-238.05
Market cap.	Rmb1,023b/US\$152b
Shares o/s	1,111m (ORDA)
Free float	61%
Avg. daily volume ('000)	34,340
Avg. daily value (m)	Rmb37,280.1
Common s/h equity (12/26E)	Rmb108b
P/BV (12/26E)	10.0x
Net debt to EBITDA (12/26E)	NM

EPS (UBS, diluted) (Rmb)

	From	To	% ch	Cons.
12/26E	9.60	29.69	209	29.79
12/27E	10.49	60.69	479	53.77
12/28E	10.95	84.96	676	79.71

Jimmy Yu

Analyst

S1460517080002

jimmy.yu@ubs.com

+86-21-3866 8880

Yongwei Lai

Analyst

S1460524110001

yongwei.lai@ubs.com

+86-21-3866 8780

Qing Luo

Associate

S1460125090001

qing-za.luo@ubs.com

+86-213-866 5000

Highlights (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	10,718	23,862	38,240	109,660	231,935	329,306	385,605	465,492
EBIT (UBS)	2,188	5,897	13,394	43,208	89,117	124,988	142,546	167,475
Net earnings (UBS)	2,174	5,171	10,797	34,166	71,606	100,245	115,067	136,084
EPS (UBS, diluted) (Rmb)	1.97	4.63	9.71	29.69	60.69	84.96	97.52	115.33
DPS (net) (Rmb)	0.32	0.50	1.40	4.38	9.18	12.85	14.76	17.45
Net (debt) / cash	2,360	2,354	9,317	60,601	81,459	133,378	206,241	287,410
Profitability/valuation	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
EBIT (UBS) margin %	20.4	24.7	35.0	39.4	38.4	38.0	37.0	36.0
ROIC (EBIT) %	18.5	38.9	66.6	117.0	116.9	101.6	87.4	81.6
EV/EBITDA (UBS core) x	26.2	20.5	19.4	22.4	10.5	7.2	5.9	4.6
P/E (UBS, diluted) x	32.7	26.3	25.9	31.0	15.2	10.8	9.4	8.0
Equity FCF (UBS) yield %	0.3	0.2	2.9	0.7	2.6	6.0	8.3	9.1
Dividend yield (net) %	0.5	0.4	0.6	0.5	1.0	1.4	1.6	1.9

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of Rmb 921.00 on 12-Aug-2026 19:59:09 CST

UBS-S Research THESIS MAP a guide to our thinking and what’s where in this report

PIVOTAL QUESTIONS

Q: Can the optical transceiver market continue its high growth in 2027-28?
Likely. We expect strong demand to be driven by spec upgrades, first in switch ASIC and later in NIC for higher bandwidth transmission, increasing GPU/ASIC shipments and more complex networking architecture for larger clusters. We estimate the global datacom optical transceiver market (we mainly refer to scale-out and scale-up between the racks) to reach cUS\$120-185bn revenue in 2028-30, up c6-10x from US\$19bn in 2025, for a CAGR of c60% in 2025-30.

Q: Can Innolight defend its market share as more vendors enter the market?
Likely. We believe Innolight can defend its market share, given its expertise in high-volume production yield and superior supply chain management. Meanwhile, its overseas manufacturing capacity and R&D centers may help mitigate geopolitical risk. In 2027/2028, we estimate Innolight's 800G optical transceiver shipments to reach 21m/22m and 1.6T optical transceiver shipments to reach 31m/38m, implying market shares of c25%/40-45%. In future-generation 3.2T near-packaged optics (NPO), we expect Innolight to continue to lead, capturing higher value with its SiPh+TFLN process know-how.

UBS VIEW

We are constructive, as we believe: 1) connectivity remains the bottleneck in AI infrastructure, with spec upgrades critical to further enhance performance; thus, capex for connectivity will be the last to be affected; 2) pricing competition for 1.6T is likely to be limited, given Innolight's expertise in high-volume production yield and supply chain management; and 3) NPO will co-exist with co-packaged optics (CPO) in the next-technology roadmap, on NPO's higher flexibility, easier maintenance and more open ecosystem, while Innolight will be the best positioned among optical transceiver vendors. We view the recent pullback as an attractive opportunity and resume coverage with a Buy rating.

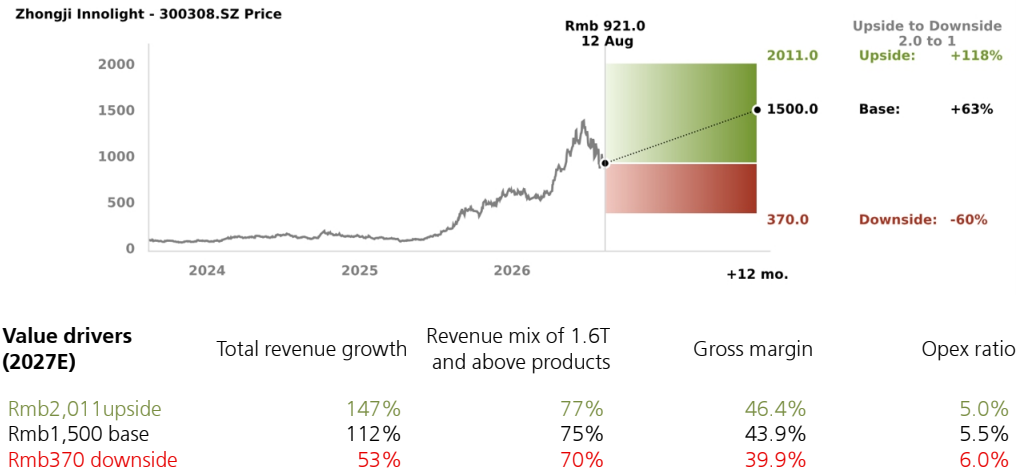
EVIDENCE

1) UBS global tech team estimates global GPU/ASIC shipments to increase to 28m units in 2027, more than doubling from 13m in 2025. 2) The attach rate of NIC per GPU is growing from 1:8 to 1:4 to 1:1 under rail optimization to narrow the gap between GPU-to-GPU networking and scale-out bandwidth. 3) For two-layer fat-tree switch fabric, the attach rate of optical transceiver per NIC is roughly 4-5:1, or higher if factoring in redundancy; two-layer fabric is becoming the mainstream solution. 4) Nvidia forecasts AI infrastructure to be a US\$3trn TAM by 2030.

WHAT’S PRICED IN?

The stock price has corrected 35% from a peak in late June, mainly due to concerns about the sustainability of global AI capex, a potential FCC ban and rising competition we think. We estimate an EPS CAGR of 69% in 2026-28, 16ppt/5ppt above those of peers/Reuters consensus, while the stock is trading at 15x/10x 2027E/2028E PE, well below peers'. We believe Innolight is worth higher PE as it integrates more chip design from simply a module assembler in the 3.2T era.

UPSIDE/DOWNSIDE SPECTRUM



Source: UBS-S estimates

COMPANY DESCRIPTION

Innolight is a global leader in high-speed optical transceivers for AI and cloud data centers. Founded in 2008 in Suzhou, China, the company develops and manufactures optical modules ranging from 100G to 1.6T for leading hyperscale customers. Benefiting from the rapid expansion of AI infrastructure, Innolight has established a strong presence in the 800G and 1.6T markets. Industry data indicate the company has ranked first globally in optical interconnect revenue since 2021, with approximately a 21% global market share in 2025, as per the company.

Optical transceivers: Critical AI infrastructure enabler

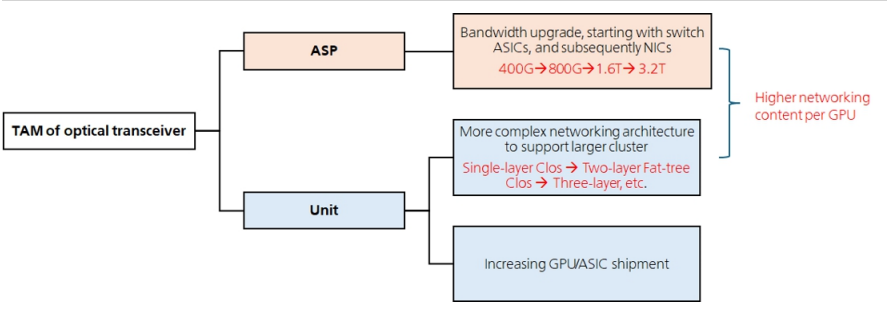
Growing TAM for datacom optical transceivers

AI infrastructure mainly consists of: computing power; memory capacity and bandwidth; and connectivity/networking. We think the importance of connectivity networking is rising, especially as computing power and memory bandwidth keep improving and the GPU/ASIC clusters keep scaling.

We believe the key growth drivers for optical transceiver market include the following:

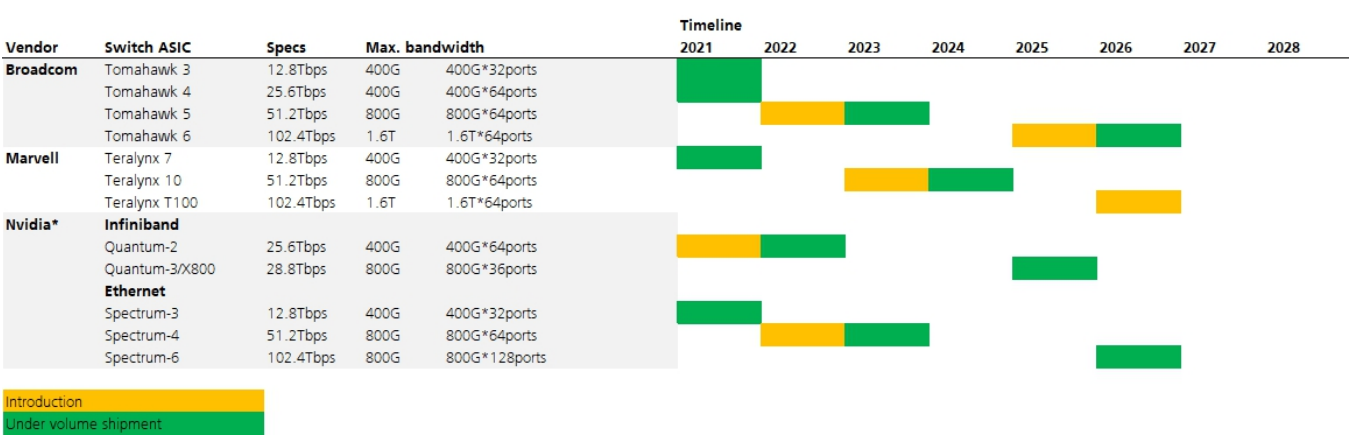
- **Bandwidth spec upgrades**, starting with switch ASICs, then NICs, to support higher and faster transmission. For example, the ramp-up of 1.6T optical transceivers will only begin once 1.6T capable switch ASICs are deployed (Figure 2).
- **More complex networking architecture** to maintain efficient communication and minimize network congestion as AI clusters scale from thousands to hundreds of thousands of GPUs. As a result, the topology is evolving from one-layer switching fabric to two-layer fat-tree Clos, and potentially to three-layer switch architectures (ie, multi-PoD clusters), increasing the number of optical links and transceivers (Figure 7 has illustrations). The first two drivers result in higher networking content per GPU.
- **Increasing GPU/ASIC shipments**, driven by growing AI training and inference workloads. UBS global tech team estimates global GPU/ASIC shipments to increase to 28m units in 2027, more than doubling from 13m in 2025.

Figure 1: Optical transceiver TAM growth drivers



Source: UBS-S

Figure 2: Mainstream switch ASIC spec upgrade timeline



Source: Company data, UBS-S. *Nvidia offers a switch total solution, rather than switch ASIC only.

Therefore, we estimate the global datacom optical transceiver market, mainly referring to opportunities in scale-out and scale-up between the racks, to reach US\$120-185bn revenue in 2028-30, up c6-10x from US\$19bn in 2025, for a CAGR of c60%. We estimate that implies datacom optical transceivers to account for 6% of AI infrastructure by 2030 (Nvidia forecasts AI infrastructure to be a US\$3trn TAM by 2030).

We estimate the attach rate of optical transceiver per GPU will increase to 4-5:1 in 2028-30 from 2-2.5:1 in 2024-25, as the blended ASP per module increases to over US\$500 in 2028-30.

- **Attach rate of optical transceiver to GPU = [attach rate of NIC to GPU] * [attach rate of optical transceiver to NIC]**

Figure 3: Datacom optical transceiver TAM forecast

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Datacom optical transceiver shipment (k units)	27,775	49,079	69,742	96,254	166,141	227,872	273,884	344,074
Conventional optical transceiver	26,607	28,869	37,669	45,456	52,170	54,779	57,517	60,393
Conventional server shipment	13,304	14,435	18,835	22,728	26,085	27,389	28,759	30,197
YoY growth		9%	30%	21%	15%	5%	5%	5%
Attach rate	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
AI data center optical transceiver	1,168	20,210	32,073	50,799	113,971	173,093	216,367	283,681
GPU shipment	4,672	10,105	12,829	16,933	28,493	38,465	48,082	56,736
YoY growth		116%	27%	32%	68%	35%	25%	18%
Attach rate	0.3	2.0	2.5	3.0	4.0	4.5	4.5	5.0
Inventory adjusted datacom optical transceiver shipment (k units)	23,000	49,000	70,000	98,000	170,000	230,000	280,000	345,000
200G and below	13,800	21,070	21,000	14,700	8,500	6,900	5,600	5,175
400G	6,900	21,070	28,700	19,600	17,000	18,400	16,800	17,250
800G	2,300	6,860	18,900	44,100	76,500	89,700	84,000	86,250
1.6T	0	0	1,400	19,600	66,640	92,000	131,600	148,350
2..4T/3.2T and above	0	0	0	0	1,360	23,000	42,000	86,250
Mix by transmission speed								
200G and below	60%	43%	30%	15%	5%	3%	2%	2%
400G	30%	43%	41%	20%	10%	8%	6%	5%
800G	10%	14%	27%	45%	45%	39%	30%	25%
1.6T	0%	0%	2%	20%	39%	40%	47%	43%
2.4T/3.2T and above	0%	0%	0%	0%	1%	10%	15%	25%
Global optical datacom interconnects by transmission speed (US\$bn)	6.3	11.6	19.4	38.4	84.0	121.1	145.7	183.6
YoY growth		85%	67%	98%	119%	44%	20%	26%
200G and below	3.0	2.4	2.4	1.3	0.6	0.4	0.3	0.3
400G	2.0	5.1	6.4	3.7	3.1	2.8	2.0	1.7
800G	1.3	4.1	9.8	17.6	28.3	28.2	21.0	19.0
1.6T	n.a.	n.a.	0.8	15.7	50.0	58.7	71.3	68.3
2.4T/3.2T and above	n.a.	n.a.	n.a.	n.a.	2.0	31.1	51.0	94.3
ASP (US\$)	273	237	277	392	494	526	520	532
200G and below	217	114	114	90	75	60	55	50
400G	290	242	223	190	180	150	120	100
800G	565	550	519	400	370	315	250	220
1.6T	n.a.	n.a.	n.a.	800	750	638	542	461
2..4T/3.2T and above	n.a.	n.a.	n.a.	n.a.	1,500	1,350	1,215	1,094
YoY growth		-13%	17%	41%	26%	7%	-1%	2%
200G and below		-48%	0%	-21%	-17%	-20%	-8%	-9%
400G		-16%	-8%	-15%	-5%	-17%	-20%	-17%
800G		-3%	-6%	-23%	-8%	-15%	-21%	-12%
1.6T		n.a.	n.a.	n.a.	-6%	-15%	-15%	-15%
2..4T/3.2T and above		n.a.	n.a.	n.a.	n.a.	-10%	-10%	-10%
Total AI infrastructure TAM			~US\$300bn				US\$3~4 trillion	
Implied share of optical transceiver			6%					6%

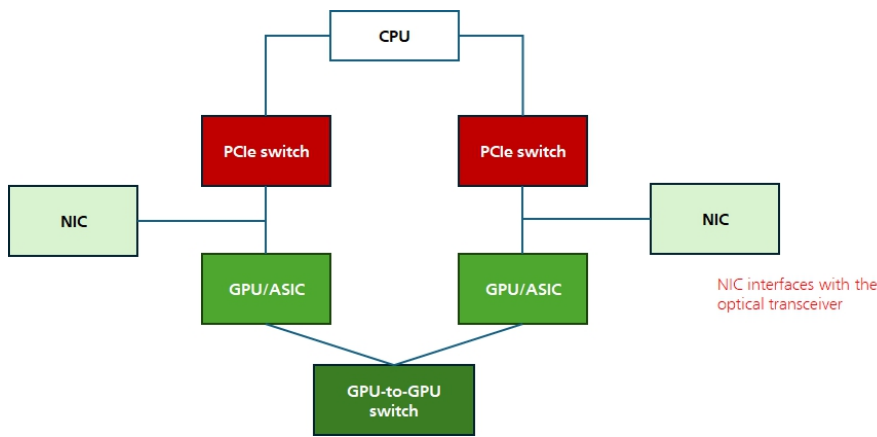
Source: CIC, UBS estimates, UBS-S estimates; Note: TAM mainly refers to opportunities in scale-out and scale-up between the racks.

Figure 4: Attach rate of NIC per GPU growing from 1:8 to 1:4 to 1:1 under rail optimization to narrow gap between GPU-to-GPU networking and scale-out bandwidth

	Third Generation	Fourth Generation	Fifth Generation
NVLink bandwidth per GPU	NVLink 3 600GB/s	NVLink 4 900GB/s	NVLink 5 1.8TB/s
NIC bandwidth for scale-out	ConnectX-7 400Gb/s	ConnectX-8 800Gb/s	ConnectX-9 800Gb/s

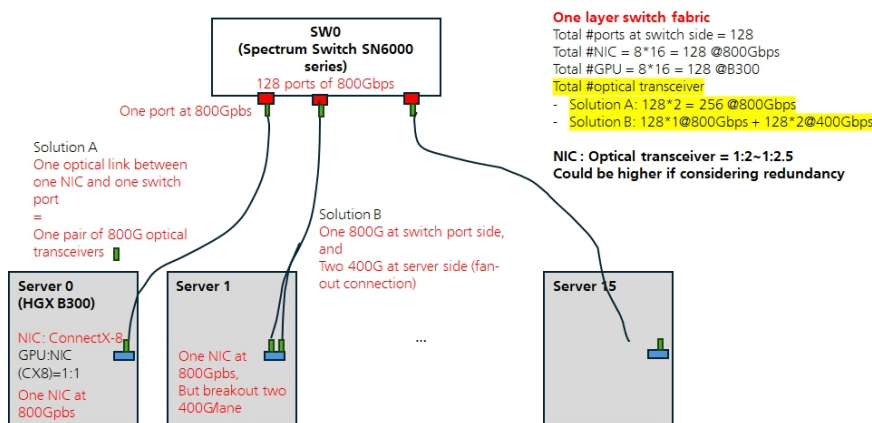
Source: Company data. Notes: 1 GB = 8 Gb.

Figure 5: CPU-GPU topology



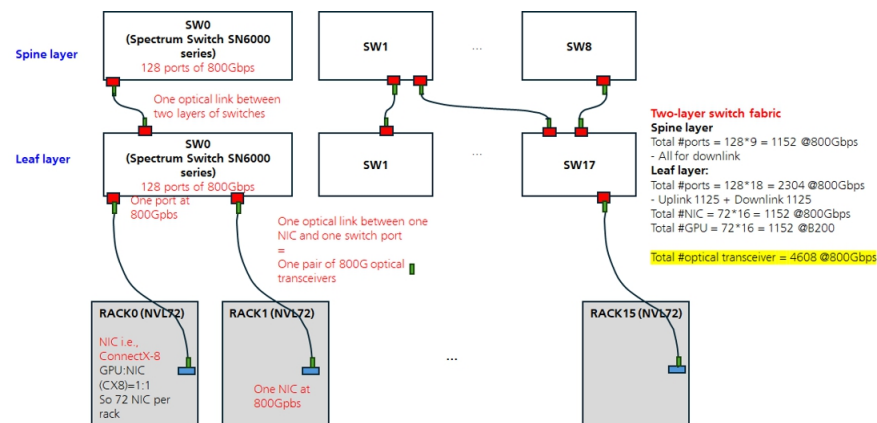
Source: UBS-S

Figure 6: One-layer switch fabric: Attach rate of optical transceiver per NIC roughly 2 to 2.5:1, or higher if factoring in redundancy



Source: UBS-S

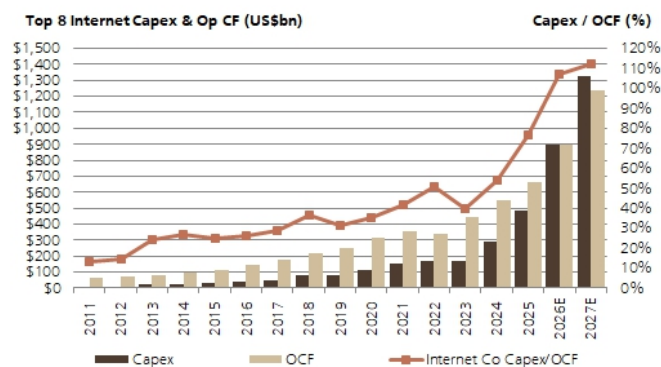
Figure 7: Two-layer fat-tree switch fabric: Attach rate of optical transceiver per NIC roughly 4 to 5:1, or higher if factoring in redundancy; two-layer fabric becoming mainstream solution



Source: UBS-S

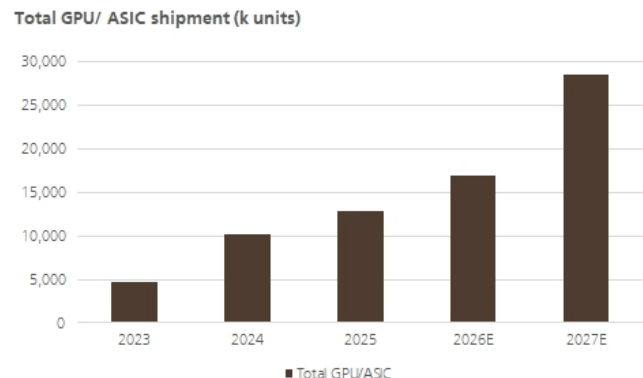
While the sustainability of rapid AI capex growth remains a key debate among investors, we believe connectivity networking is likely to be the last area affected by any potential slowdown. Compared with computing power and memory bandwidth, network connectivity continues to lag and remains a critical bottleneck in AI cluster scaling.

Figure 8: AI capex from Top 8 global CSPs



Source: Company data, UBS estimates

Figure 9: Total GPU/ASIC shipments



Source: UBS estimates

In addition, as AI workloads grow, we foresee rising demand for scale-across solutions, where multiple data centers are connected so compute resources distributed a few or as far as several hundred kilometers can be treated as a unified compute resource for AI processing. This segment is currently dominated by Cisco, Cisco, Ciena, Marvell and Infinera/Nokia.

Over the longer term, if optics can break through in-rack scale-up to support higher and faster bandwidth, which is now dominated by copper, the TAM for optical transceivers may further expand.

Figure 10: Comparison – fibre optic vs. copper cable

	Fiber Optic	Copper
Bandwidth	More suitable for 800G / 1.6T and above especially for longer reach interconnect.	In 800G / 1.6T, the use should be limited to short-reach networking.
Transmission distance	Up to 100km. Single mode fiber could transmit data for longer distance than multi-mode fiber.	In general, <100m. For 800G / 1.6T, the transmission distance could be <10m.
Environmental factor tolerance	Less susceptible to temperature and moisture	Susceptible to temperature and moisture
EMI	Immune	Susceptible to EM interference
Useful life	30-50 years	5 years
Handling	Thinner, lighter, stronger pulling strength	Thicker, heavier, more prone to damage and breakage
Security	Better	Weaker - possibility to be tapped or causing fire when damaged

Source: UBS

We are not highly concerned about rising competition

We expect Innolight to defend its market leadership in 1.6T pluggables, as we do not believe its core competitive advantages are easy to replicate, and they may even widen in future generations. Those advantages include the following:

- **Strong time-to-market capability**, indicating strong execution and experience in high-volume production, which is particularly important when product cycles are shortening. Innolight was the first to introduce 400G/800G/1.6T and achieved volume shipments six months ahead of its closest peer.

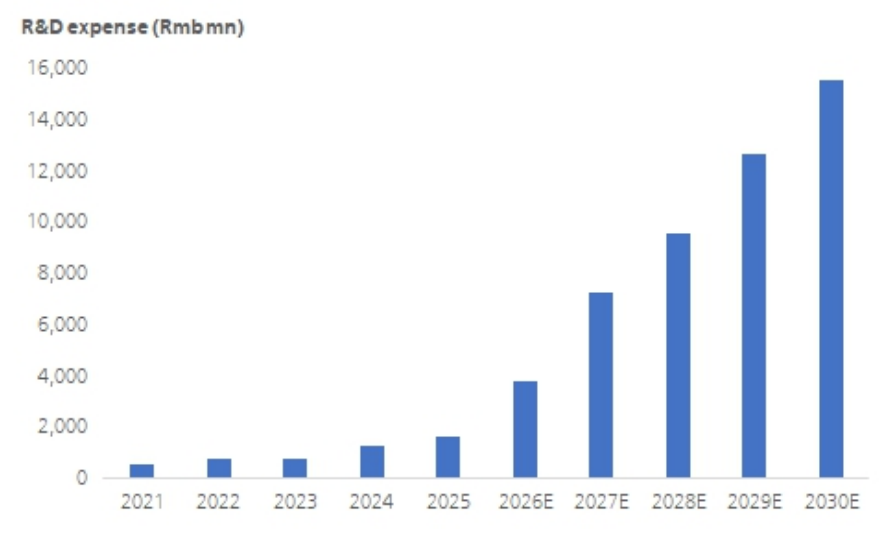
Figure 11: Product cycles are shortening



Source: Company data, UBS-S

- **Leading technology** supported by effortless R&D. We believe its know-how in active alignment and thermal management lift the entry barriers. Innolight started R&D of SiPh in 2017, an early mover in SiPh integration. In Q126, 70% of its high-speed product revenue came from SiPh. We expect higher requirements for systematic design in more advanced specs.

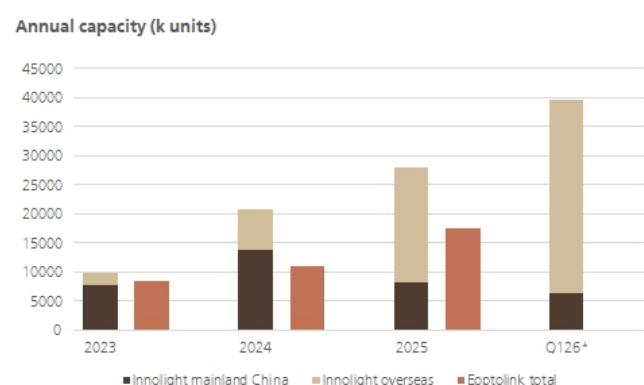
Figure 12: Innolight has invested heavily in R&D



Source: Company data, UBS-S estimates

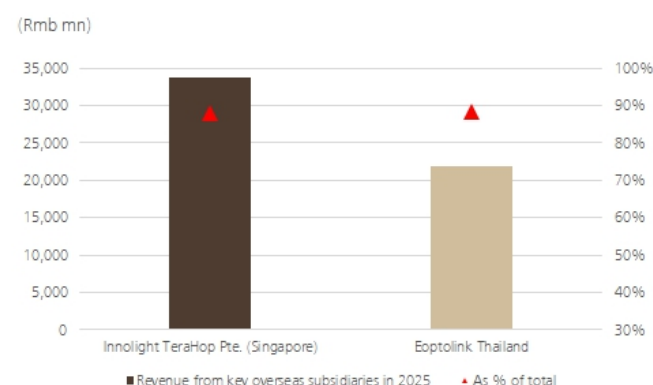
- **Early engagement with global-leading customers**, built with trusted partnerships since 2011. This helps Innolight access customers' long-term roadmaps ahead of peers.
- **Scalable production and a stable supply chain**. Given stronger-than-expected demand, we expect the supply tightness of raw materials to cap actual shipments, to a certain degree. However, we believe Innolight, among all optical transceiver vendors, could be prioritized in raw material allocation, given its superior track record in high-volume production yield and larger available capacity. Innolight's capacity and production are about 1.5x those of the second-largest supplier in China, Eoptolink. In addition, Innolight has meaningfully ramped overseas capacity since 2024 and plans to invest 30% of H-share listing funds raised to expand global production capacity. For SiPh PIC, we believe Innolight can secure enough capacity, given a strategic partnership with Tower Semiconductor, the leading SiPh foundry supplier worldwide.

Figure 13: Innolight's capacity about 1.5x of Eoptolink's



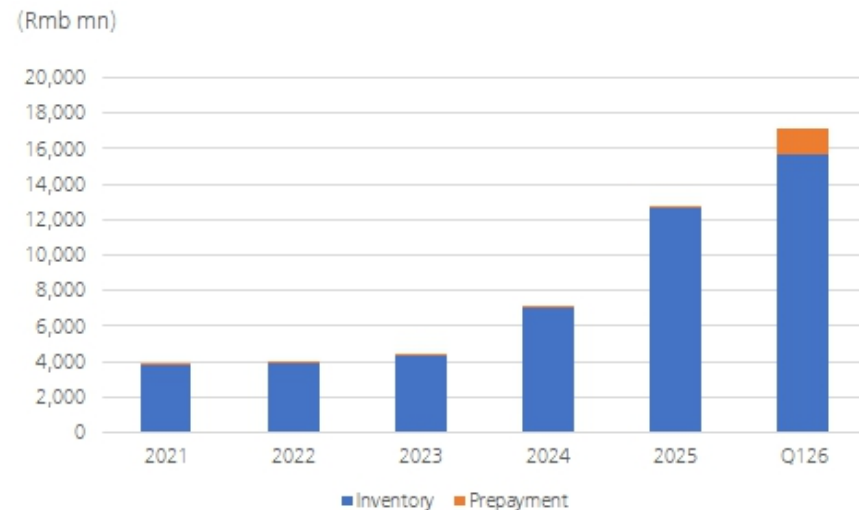
Source: Company data. *Only Innolight's Q126 data available; Q126 is the annualized number

Figure 14: Innolight's revenue generated from key overseas subsidiary was 1.5x of Eoptolink's in 2025



Source: Company data

Figure 15: We believe Innolight is securing raw material supplies



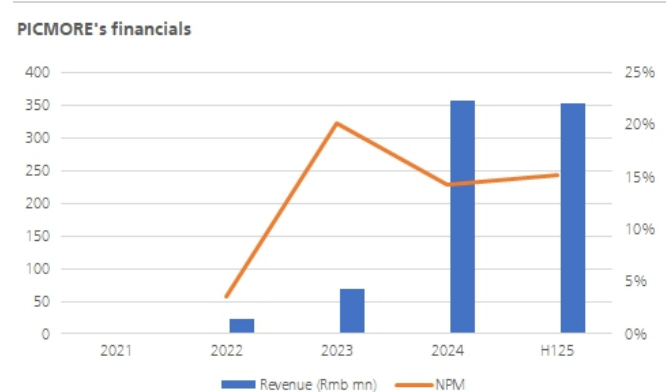
Source: Company data

Figure 16: Innolight's investment across supply chain

Investment	Main products	Ownership
PICMORE	R&D of SiPh chips	66.67%
Guangdong Shenduo Zhiling	Liquid cooling and thermal management solution for AI data center	51%
TOPTRANS	R&D and manufacturing of III-V VCSEL optical chips	Via Chuangze Cloud investment (Innolight holds 99.85% share of Chuangze Cloud); currently owns 49.19%
Yuanjie Semiconductor	R&D and manufacturing of high speed InP optical chips	Via Chuangze Cloud investment since 2018; - owned 6.71% prior to YJ's A-share IPO; - currently owns 3.5%, the 5th largest shareholder by Q126

Source: Company data

Figure 17: Financials of SiPh chip designer PICMORE



Source: Company data. Notes: Innolight did not disclose 2025 full-year financials.

In 2027/2028, we estimate Innolight's 800G optical transceiver shipments to reach 21m/22m and 1.6T optical transceiver shipments to reach 31m/38m, implying market shares of c25%/40-45%.

Figure 18: Innolight's optical transceiver revenue forecast

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Innolight optical transceiver module revenue (US\$mn)	1,446	3,214	5,243	15,554	33,022	46,932	54,975	66,387
200G and below	437	410	471	259	108	59	43	36
400G	459	1,123	1,859	706	578	552	363	311
800G	550	1,482	2,495	5,821	7,642	7,053	4,630	3,985
1.6T	0	200	418	8,728	24,183	27,571	31,243	27,181
2..4T/3..2T and above	0	0	0	40	510	11,697	18,495	34,875
Innolight's implied market share by transmission speed	23%	28%	27%	41%	39%	39%	38%	36%
200G and below	15%	17%	20%	20%	17%	14%	14%	14%
400G	23%	22%	29%	19%	19%	20%	18%	18%
800G	42%	36%	25%	33%	27%	25%	23%	21%
1.6T	n.a.	n.a.	52%	56%	48%	47%	44%	40%
2..4T/3..2T and above	n.a.	n.a.	n.a.	n.a.	25%	38%	36%	37%
Innolight optical transceiver module shipment (k units)	7,460	14,591	21,086	32,376	56,723	75,590	90,279	110,586
200G and below	4,950	5,562	6,474	3,675	1,700	1,035	840	776
400G	1,510	5,742	8,502	3,920	3,400	3,680	3,024	3,105
800G	1,000	3,087	5,670	14,553	20,655	22,425	19,320	18,113
1.6T	0	200	440	10,208	30,588	38,300	49,560	51,472
2..4T/3..2T and above	0	0	0	20	380	10,150	17,535	37,120

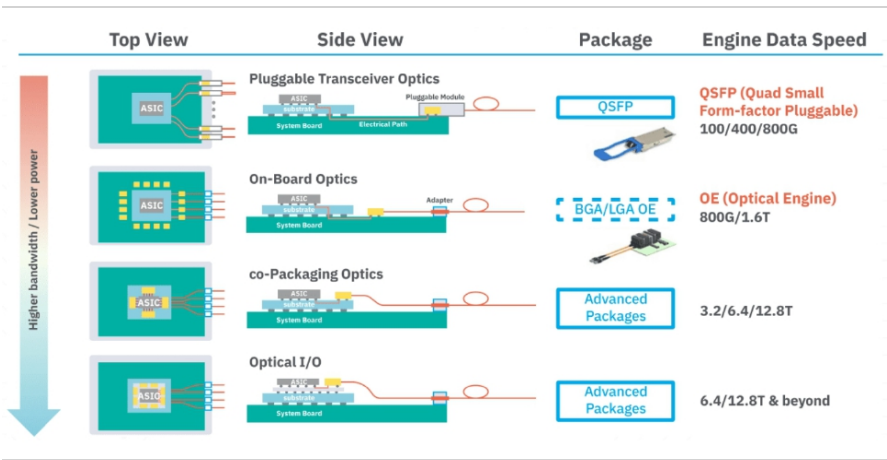
Source: UBS-S estimates

More solutions to arise from 3.2T

Meanwhile, we think more solutions will arise from the 3.2T era, as the current SerDes and PCB materials, among others, are struggling to support 3.2T bandwidth. The

new-technology roadmap is trying to move OE closer to switch ASIC/XPU, as a shorter copper distance may lead to a better signal, faster transmission speed, higher bandwidth, a more compact space and lower power consumption. Thus, NPO and CPO have been introduced.

Figure 19: Roadmap of optical transceiver packaging



Source: ASE

NPO is not just a transitional solution

While some investors view NPO as a transitional solution before full migration to CPO, we are more bullish on NPO and expect pluggables, NPO and CPO to co-exist over the next three to five years. NPO offers better performance than traditional pluggables, along with easier maintenance and a more open ecosystem than CPO. NPO typically can be mounted in a socket on the PCB, providing greater flexibility in system configuration and more ease in service and repair.

We are seeing more evidence of NPO adoption among hyperscalers over the next two years. The industry launched the Open CPX MSA in March 2026 to standardize CPO and NPO engines for AI data centers. TeraHop (Innolight's subsidiary) is among the founding members, while others include Ciena, Coherent and Marvell, etc. We also saw multiple NPO demos by ODM/OEMs at WAIC 2026. In Lumentum's latest earnings call, the company indicated that it is seeing strong NPO momentum across multiple high-velocity engagements, with even the largest CPO customer evaluating NPO for certain new use cases.

Figure 20: Traditional vs. LPO vs. NPO vs. CPO

	Pros	Cons
Traditional pluggables	Most mature, offering a balance between cost and performance	3.2T and above would be challenging; Could be constrained by DSP limited supply
LPO	Cost-efficient as DSP is removed	Signal loss may arise without DSP
NPO	Closer to switch ASIC so higher and faster bandwidth; Easier maintenance (socket used); Open ecosystem	Higher requirement on thermal management and smaller form factor
CPO	Closest to switch ASIC so highest and fastest bandwidth	Extremely complicated for chip manufacturing; Hard for maintenance (bumped)

Source: UBS-S

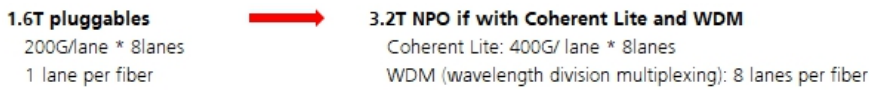
Innolight to capture higher content value in NPO

We expect Innolight to lead in NPO and capture higher value in the 3.2T NPO era, as SiPh- and TFLN-based PICs can integrate more optical functions than traditional pluggable modules. Innolight showcased its next-generation portfolio during OFC 2026, with a lineup including NPO/CPO, 3.2T and 6.4T high-speed optical modules and optical engine solutions. Innolight is also among the first to deploy Coherent Lite technology in short-distance data center optical modules.

We expect Innolight to start 3.2T NPO shipments in 2027, with a more meaningful ramp in 2028 (50k/2.5m in 2027/2028), first in switch, then in xPU. Given Innolight's SiPh

integration expertise, we expect it to raise its market share in 3.2T NPO. We estimate 3.2T NPO to contribute c10% of total sales by 2028.

Figure 21: We expect increasing integration of TFLN-based modulators with SiPh platforms



Technology trends:
Higher bandwidth with more wavelength per fiber
We expect increasing integration of TFLN-based modulators with SiPh platforms.

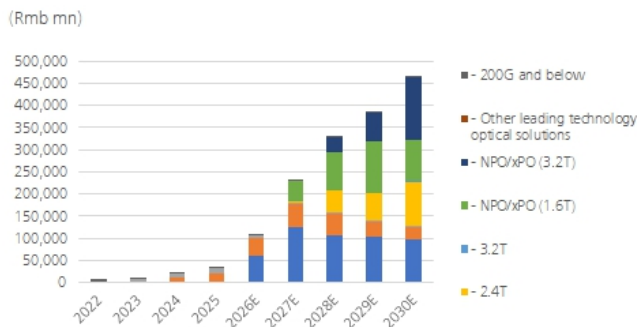
Source: UBS-S estimates

We expect strong revenue growth and a stable gross margin

We estimate a revenue CAGR of 52% in 2026-29, supported by the ramp of 800G/1.6T, customized 2.4T and 3.2T NPO. We expect the gross margin to moderate as of 2027 but remain above 40% by 2030 vs. 33.8%/42.0% in 2024/2025.

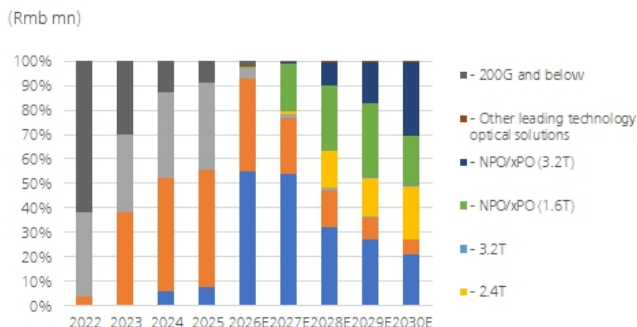
We expect the blended ASP to increase on a better mix, with a greater contribution from newer-generation products, offset by yield loss for new products in the early stage of ramp and higher costs, given raw material supply tightness, although Innolight could pass on a part of that. We believe pricing pressure could be limited, as optical transceivers only account for a single-digit percentage of total AI infrastructure capex, while optical vendors' gross margins are below those of others across the supply chain.

Figure 22: Revenue estimates by product type



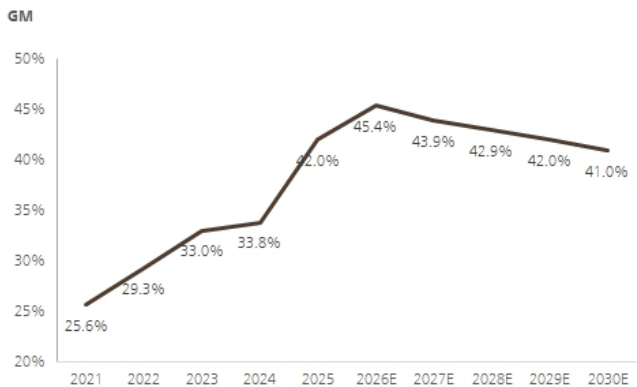
Source: Company data, UBS-S estimates

Figure 23: Revenue mix by product type



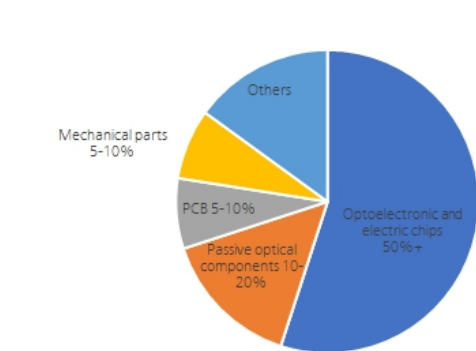
Source: Company data, UBS-S estimates

Figure 24: Gross margin to be largely stable



Source: Company data, UBS-S estimates

Figure 25: BOM cost breakdown



Source: Company data

Risk: Impact of potential FCC ban

FCC is [reportedly](#) considering a ban on Chinese-made optical transceivers. A potential FCC ban is an overhang, as the US market contributed c60% of Innolight's total sales in 2024-25, with Singapore, the Netherlands, the UK and Hong Kong contributing the other c30%.

While the outcome of the FCC review remains uncertain, we think several factors are likely to be relevant: 1) Chinese suppliers currently represents c50% of global optical transceiver supply, and it could take significant time for overseas suppliers to ramp up capacity, particularly given the yield and qualification requirements. In our view, a sudden ban could aggravate existing supply constraints and slow the pace of AI infrastructure build-out. 2) Chips responsible for the data processing (DSP and ASIC) are mainly supplied by US vendors. 3) Optical transceiver assembly generates lower margins than upstream optical components and materials, limiting the economic incentive for US vendors to expand aggressively into this segment. 4) China plays a critical role in the InP ecosystem, suggesting that broad restrictions could introduce additional disruptions across the optical supply chain.

In addition, we believe Innolight's overseas manufacturing capacity and R&D centers could help mitigate the risk. As we have discussed, since 2023, Innolight has meaningfully ramped up overseas capacity, which now accounts for c85% of the total.

Figure 26: Major Chinese vendors contributed c50% of total industry sales in 2025

(Rmb mn)	2025 Revenue
Innolight	37,457
Eoptolink	24,842
Accelink	11,929
HGGenuine	3,813
Source Photonics	1,436
CIG	1,675
TAM	24,800
Market share of Major Chinese vendors*	47%

Source: Company data. *Huawei/HiSilicon and Hisense are not included on the list, given no public data available.

Nonetheless, we conducted a sensitivity analysis to assess the potential impact under various scenarios.

Figure 27: Sensitivity analysis on potential impact under various scenarios

	Soft ban	Medium ban	Hard ban
Description on restriction	Limited restriction on government/ sensitive infrastructure customers only. US commercial CSPs can continue procurement.	Restrictions extended to US CSPs' US-based procurement, but optical transceivers produced outside China are exempted.	Broad prohibition on Chinese optical transceivers in the US market, regardless where the products are manufactured.
Probability	High.	Medium.	Low.
Potential impact on			
Revenue	Limited impact. Estimated revenue impact: <5%.	Limited impact as Innolight is ramping overseas capacity to fulfill customer demand (currently accounts for 85% of Innolight's total capacity).	Significant impact. Potential loss of most US revenue, partially offset by capacity reallocation to other regions. Revenue downside could reach 50%.
GM	Minimal impact.	Negative impact from lower utilization in Mainland fabs, and higher labour and production and depreciation costs overseas; GM decline <5ppt.	Significant pressure due to capacity underutilization, weaker product mix, and potential pricing competition in non-US markets. GM may decline to teens%.
Net profit	Minimal impact.	Moderate impact due to lower GM and less operating leverage; NP decline ~10%.	Material earnings impact. NP downside potential 50%+.
Investment implication	Short-term sentiment pressure but limited fundamental impact.	Earnings cut required but multiple shall sustain as the global AI story remains intact.	Structural challenges to all Chinese optical transceiver vendors.

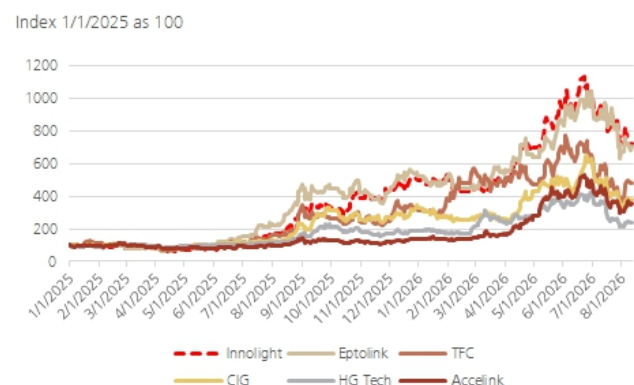
Source: UBS-S estimates

WHAT'S PRICED IN?

Innolight's stock price, along with those of other optical vendors, has risen significantly since mid-2025, as investors have started to realize the importance of large-scale clusters to support the training and inference of larger-parameter LLM models, while optical connectivity is the key enabler in scale-out networking architecture.

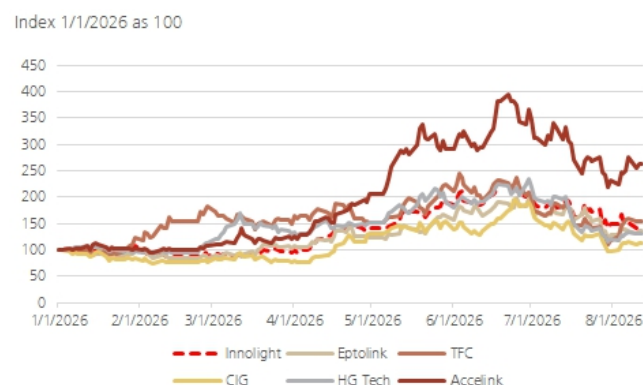
However, the stock price has corrected 35% from a peak in late June, mainly due to concerns about the sustainability of global AI capex, a potential FCC ban and rising competition we think. YTD, Innolight has risen 46%, largely in line with peers but underperforming Accelink, which is likely more exposed to the domestic AI infrastructure market than global AI capex.

Figure 28: Stock performance since 2025



Source: Wind, UBS-S

Figure 29: Stock performance YTD



Source: Wind, UBS-S

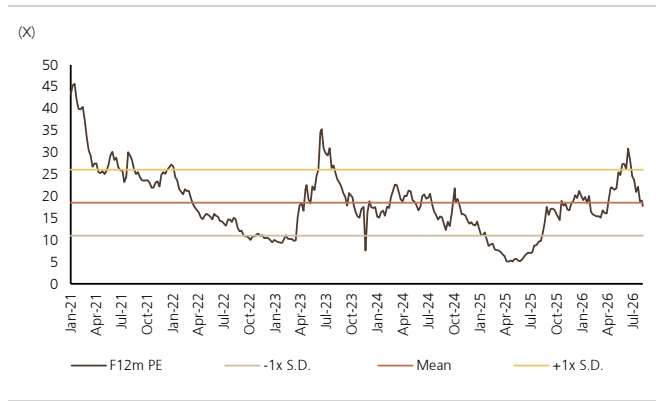
We estimate an EPS CAGR of 69% in 2026-28, 16ppt/5ppt above those of peers/ Reuters consensus. The stock is trading at 15x/10x 2027E/2028E PE, well below peers', with a c50% valuation discount. We remain optimistic about global AI capex, especially on the networking side, and are not very concerned about rising competition, considering Innolight's superior supply chain management, stable customer relationships and effortless R&D investment. We view Innolight as a key beneficiary of global optical networking demand, with the capability to integrate more chip design from simply a module assembler in the 3.2T era; thus, we view its valuation as attractive.

Figure 30: Comps table

				PE (x)			P/BV (x)			ROE (%)			EPS growth			EPS CAGR
Company	Ticker	Mkt cap (US\$ bn)	Stock price (LC)	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026-28E
China optical transceiver companies																
Innolight	300308.SZ	146.1	886.96	29.9	14.6	10.4	9.5	5.9	3.9	31.7	41.6	38.5	207%	104%	40%	69%
Eoptolink*	300502.SZ	82.7	415.30	29.6	17.5	11.9	15.7	8.3	5.0	55.3	50.4	44.5	46%	69%	47%	58%
TFC*	300394.SZ	34.7	222.49	70.2	48.9	34.1	30.5	21.5	15.3	45.1	45.6	45.9	22%	44%	44%	44%
Huagong Tech*	000988.SZ	14.9	103.80	45.4	35.4	28.6	7.9	6.6	5.5	17.7	19.1	19.5	55%	28%	24%	26%
CIG*	603083.SH	6.9	152.35	31.7	15.8	9.6	6.7	5.5	4.1	21.2	34.2	42.3	412%	101%	64%	82%
Accelink*	002281.SZ	21.8	184.07	93.9	54.5	37.9	13.2	11.1	9.0	12.9	17.7	20.2	62%	72%	44%	57%
China optical transceiver average				50.1	31.1	22.1	13.9	9.8	7.1	30.7	34.8	35.1	134%	70%	44%	56%
China optical chip companies																
Yuanjie Tech*	688498.SH	24.0	1351.00	203.8	126.4	86.1	51.4	36.0	25.1	26.5	30.8	31.9	196%	61%	47%	54%
Everbright*	688048.SH	7.2	285.29	660.7	328.0	189.8	16.3	15.6	14.5	2.5	4.8	7.6	248%	101%	73%	87%
China optical chip average				432.2	227.2	138.0	33.9	25.8	19.8	14.5	17.8	19.8	222%	81%	60%	70%
Overseas optical solution companies																
Lumentum**	LITE.O	63.8	820.59	51.4	27.0	17.4	20.0	12.4	6.3	43.3	52.1	43.3	157%	90%	55%	72%
Coherent**	COHR.N	64.3	328.57	46.2	29.4	19.3	5.7	4.8	4.1	12.3	15.3	17.1	53%	57%	53%	55%
Overseas optical solution average				48.8	28.2	18.3	12.8	8.6	5.2	27.8	33.7	30.2	105%	74%	54%	63%

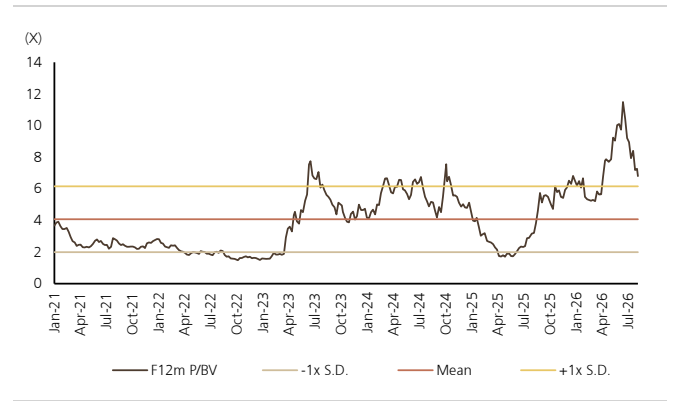
Source: Wind, Reuters, UBS-S estimates; *Wind consensus, **Reuters consensus. Note: Pricing data as of 11 Aug 2026.

Figure 31: PE band



Source: Wind, UBS-S estimates. Note: Pricing data as of 11 Aug 2026.

Figure 32: P/BV band



Source: Wind, UBS-S estimates. Note: Pricing data as of 11 Aug 2026.

Financials

As we resume coverage, we estimate revenue to grow 112%/42% in 2027/2028, after 187% YoY growth in 2026, reaching Rmb329bn in 2028, supported by the significant ramp of 800G/1.6T, shipments of customized 2.4T and introduction of 3.2T NPO. We estimate a 2026-28 EPS CAGR of 69% due to a relatively stable gross margin and superior operating leverage despite heavy R&D investment.

Figure 33: Earnings estimate changes

Rmb m	UBS-Se (New)			UBS-Se (Old)			% chg		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	109,660	231,935	329,306	47,895	51,726	53,278	129%	348%	518%
Gross Profit	49,770	101,837	141,401	15,901	17,173	17,688	213%	493%	699%
GPM	45%	44%	43%	33%	33%	33%	1219 bps	1071 bps	974 bps
Selling expense	649	1,372	1,618	239	259	266	171%	430%	508%
Admin expense	1,853	3,455	4,247	948	1,009	1,023	95%	243%	315%
R&D expense	3,838	7,422	9,879	1,724	1,862	1,918	123%	299%	415%
EBIT	43,208	89,117	124,988	12,763	13,799	14,229	239%	546%	778%
EBIT margin	39%	38%	38%	27%	27%	27%	1275 bps	1175 bps	1125 bps
Net profit	34,166	71,606	100,245	10,762	11,756	12,273	217%	509%	717%
NPM	31%	31%	30%	22%	23%	23%	869 bps	815 bps	740 bps
No. of shares (m shares)	1,151	1,180	1,180	1,121	1,121	1,121	3%	5%	5%
EPS (Rmb)	29.69	60.69	84.96	9.60	10.49	10.95	209%	479%	676%

Source: Company data, UBS-S estimates

We apply 25x PE, roughly 1 SD above the historical average (vs. peers' c30x) to reach our price target of Rmb1,500, implying a 0.9x PEG ratio (vs. a 27% 2027-29E EPS CAGR). We believe Innolight is worth higher PE as it integrates more chip design from simply a module assembler in the 3.2T era.

Figure 34: Price target derivation

	New	Old
Valuation base	27E PE	25E PE
Target PE multiple	25x	22x
EPS	60.69	8.57
Price target	1500.00	188.50
EPS CAGR (f24m)	27%	11%
Implied PEG	0.9x	2.1x

Source: UBS-S estimates

Zhongji Innolight (300308.SZ)

	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Income Statement (Rmbm)										
Revenues	10,718	23,862	38,240	109,660	186.8	231,935	111.5	329,306	385,605	465,492
Gross profit	3,536	8,067	16,074	49,770	209.6	101,837	104.6	141,401	161,765	190,676
EBITDA (UBS)	2,713	6,610	14,329	44,302	209.2	91,491	106.5	129,441	149,803	177,698
Depreciation & amortisation	(525)	(713)	(934)	(1,094)	-17.2	(2,374)	-116.9	(4,452)	(7,257)	(10,222)
EBIT (UBS)	2,188	5,897	13,394	43,208	222.6	89,117	106.3	124,988	142,546	167,475
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	221	11	388	0	-	0	-	0	0	0
Net interest	84	144	(183)	(66)	64.1	1,530	-	2,236	3,861	6,115
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	2,492	6,052	13,600	43,142	217.2	90,647	110.1	127,224	146,407	173,591
Tax	(285)	(681)	(2,020)	(6,408)	-217.2	(13,463)	-110.1	(18,896)	(21,745)	(25,782)
Profit after tax	2,208	5,372	11,580	36,735	217.2	77,184	110.1	108,328	124,662	147,808
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	(34)	(200)	(782)	(2,569)	-228.3	(5,578)	-117.2	(8,084)	(9,595)	(11,724)
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	2,174	5,171	10,797	34,166	216.4	71,606	109.6	100,245	115,067	136,084
Net earnings (UBS)	2,174	5,171	10,797	34,166	216.4	71,606	109.6	100,245	115,067	136,084
Tax rate (%)	11.4	11.2	14.9	14.9	0.0	14.9	0.0	14.9	14.9	14.9
Per Share (Rmb)										
EPS (UBS, diluted)	1.97	4.63	9.71	29.69	205.8	60.69	104.4	84.96	97.52	115.33
EPS (local GAAP, diluted)	1.97	4.63	9.71	29.69	205.8	60.69	104.4	84.96	97.52	115.33
EPS (UBS, basic)	2.00	4.72	9.80	29.96	205.7	61.22	104.3	85.70	98.37	116.34
DPS (net) (Rmb)	0.32	0.50	1.40	4.38	212.9	9.18	109.6	12.85	14.76	17.45
Cash EPS (UBS, diluted) ¹	2.45	5.27	10.55	30.64	190.5	62.70	104.6	88.73	103.67	123.99
Book value per share	12.69	17.07	26.79	92.08	243.7	147.32	60.0	222.61	307.49	408.18
Average shares (diluted)	1,103	1,117	1,112	1,151	3.5	1,180	2.5	1,180	1,180	1,180
Balance Sheet (Rmbm)										
Cash and equivalents	3,317	5,054	10,987	62,771	NM	84,129	34.0	136,549	209,911	291,581
Other current assets	8,002	13,142	20,097	46,403	130.9	95,080	104.9	130,886	148,618	181,079
Total current assets	11,319	18,196	31,084	109,174	251.2	179,210	64.2	267,435	358,530	472,660
Net tangible fixed assets	4,276	5,872	8,503	18,569	118.4	34,920	88.1	56,983	80,746	107,902
Net intangible fixed assets	2,339	2,317	2,316	2,230	-3.7	2,144	-3.9	2,057	1,971	1,939
Investments / other assets	2,072	2,482	3,386	3,302	-2.5	3,217	-2.6	3,133	3,049	2,964
Total assets	20,007	28,866	45,289	133,274	194.3	219,490	64.7	329,608	444,295	585,465
Trade payables & other ST liabilities	3,739	4,427	10,473	17,440	66.5	32,969	89.0	46,431	51,733	62,906
Short term debt	621	2,070	1,086	1,086	0.0	1,086	0.0	1,086	1,086	1,086
Total current liabilities	4,360	6,497	11,558	18,525	60.3	34,055	83.8	47,517	52,819	63,992
Long term debt	336	629	585	1,085	85.5	1,585	46.1	2,085	2,585	3,085
Other long term liabilities	536	1,447	1,525	1,525	0.0	1,525	0.0	1,525	1,525	1,525
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	5,232	8,573	13,668	21,135	54.6	37,164	75.8	51,126	56,928	68,601
Common s/h equity	14,261	19,134	29,765	107,714	261.9	172,323	60.0	260,395	359,685	477,458
Minority interests	513	1,159	1,856	4,425	138.4	10,003	126.1	18,087	27,682	39,406
Total liabilities & equity	20,007	28,866	45,289	133,274	194.3	219,490	64.7	329,608	444,295	585,465
Cash Flow (Rmbm)										
Net income (before pref divs)	2,174	5,171	10,797	34,166	216.4	71,606	109.6	100,245	115,067	136,084
Depreciation & amortisation	525	713	934	1,094	17.2	2,374	116.9	4,452	7,257	10,222
Net change in working capital	(832)	(3,194)	(2,029)	(19,339)	NM	(33,148)	-71.4	(22,344)	(12,430)	(21,287)
Other operating	30	474	1,194	2,634	120.6	4,048	53.7	5,848	5,734	5,609
Operating cash flow	1,897	3,165	10,896	18,556	70.3	44,880	141.9	88,201	115,628	130,628
Tangible capital expenditure	(1,704)	(2,866)	(2,760)	(10,990)	-298.2	(18,555)	-68.8	(26,344)	(30,848)	(37,263)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	0	0	0	0	-	0	-	0	0	0
Other investing	528	(76)	141	0	-	0	-	0	0	0
Investing cash flow	(1,176)	(2,942)	(2,619)	(10,990)	-319.7	(18,555)	-68.8	(26,344)	(30,848)	(37,263)
Equity dividends paid	(157)	(354)	(997)	(2,819)	-182.9	(6,997)	-148.2	(12,173)	(15,778)	(18,311)
Share issues / (buybacks)	42	68	155	46,603	NM	0	-	0	0	0
Other financing	323	93	(188)	(66)	65.1	1,530	-	2,236	3,861	6,115
Change in debt & pref shares	(524)	1,685	(1,114)	500	-	500	0.0	500	500	500
Financing cash flow	(316)	1,492	(2,144)	44,218	-	(4,967)	-	(9,437)	(11,417)	(11,696)
Cash flow inc/(dec) in cash	405	1,715	6,134	51,784	NM	21,358	-58.8	52,419	73,363	81,669
FX / non cash items	81	21	(201)	0	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	486	1,737	5,933	51,784	NM	21,358	-58.8	52,419	73,363	81,669

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Zhongji Innolight (300308.SZ)

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	32.7	26.3	25.9	31.0	15.2	10.8	9.4	8.0
P/E (UBS, diluted)	32.7	26.3	25.9	31.0	15.2	10.8	9.4	8.0
P/CEPS	26.0	22.7	23.6	29.8	14.6	10.3	8.8	7.4
Equity FCF (UBS) yield %	0.3	0.2	2.9	0.7	2.6	6.0	8.3	9.1
Dividend yield (net) %	0.5	0.4	0.6	0.5	1.0	1.4	1.6	1.9
P/BV	5.1	7.1	9.4	10.0	6.3	4.1	3.0	2.3
EV/revenues (core)	6.6	5.7	7.3	9.0	4.1	2.8	2.3	1.7
EV/EBITDA (UBS core)	26.2	20.5	19.4	22.4	10.5	7.2	5.9	4.6
EV/EBIT (core)	32.5	23.0	20.7	22.9	10.8	7.4	6.1	4.8
EV/OpFCF (core)	70.5	36.2	24.0	29.8	13.2	9.0	7.4	5.8
EV/op. invested capital	6.0	8.9	13.8	26.9	12.6	7.6	5.4	3.9
Enterprise value (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	72,392	136,901	281,818	1,023,340	1,023,340	1,023,340	1,023,340	1,023,340
Net debt (cash)	(1,610)	(2,357)	(5,835)	(34,959)	(71,030)	(107,419)	(169,810)	(246,826)
Buy out of minorities	319	836	1,507	3,140	7,214	14,045	22,884	33,544
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	71,101	135,380	277,490	991,522	959,524	929,966	876,414	810,058
Non core assets	0	0	0	0	0	0	0	0
Core enterprise value	71,101	135,380	277,490	991,522	959,524	929,966	876,414	810,058
Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	11.2	122.6	60.3	186.8	111.5	42.0	17.1	20.7
EBITDA (UBS)	43.4	143.6	116.8	NM	106.5	41.5	15.7	18.6
EBIT (UBS)	56.4	169.5	127.1	NM	106.3	40.3	14.0	17.5
EPS (UBS, diluted)	79.2	134.9	109.7	NM	104.4	40.0	14.8	18.3
Net DPS	125.0	55.6	180.0	NM	109.6	40.0	14.8	18.3
Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	33.0	33.8	42.0	45.4	43.9	42.9	42.0	41.0
EBITDA margin	25.3	27.7	37.5	40.4	39.4	39.3	38.8	38.2
EBIT (UBS) margin	20.4	24.7	35.0	39.4	38.4	38.0	37.0	36.0
Net earnings (UBS) margin	20.3	21.7	28.2	31.2	30.9	30.4	29.8	29.2
ROIC (EBIT)	18.5	38.9	66.6	NM	NM	NM	NM	NM
ROIC post tax	16.4	34.5	56.7	NM	NM	NM	74.4	69.5
ROE (UBS)	16.6	31.0	44.2	49.7	51.1	46.3	37.1	32.5
Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	(0.9)	(0.4)	(0.7)	(1.4)	(0.9)	(1.0)	(1.4)	(1.6)
Net debt / total equity %	(16.0)	(11.6)	(29.5)	(54.0)	(44.7)	(47.9)	(53.2)	(55.6)
Net debt / (net debt + total equity) %	(19.0)	(13.1)	(41.8)	NM	(80.8)	(91.9)	NM	NM
Net debt/EV %	(2.3)	(1.7)	(2.1)	(3.5)	(7.4)	(11.6)	(19.4)	(30.5)
Capex / depreciation %	NM	NM	NM	NM	NM	NM	NM	NM
Capex / revenue %	15.9	12.0	7.2	10.0	8.0	8.0	8.0	8.0
EBIT / net interest	-	-	73.3	NM	-	-	-	-
Dividend cover (UBS)	6.2	9.4	7.0	6.8	6.7	6.7	6.7	6.7
Div. payout ratio (UBS) %	16.1	10.6	14.3	14.6	15.0	15.0	15.0	15.0
Revenues by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	10,718	23,862	38,240	109,660	231,935	329,306	385,605	465,492
Total	10,718	23,862	38,240	109,660	231,935	329,306	385,605	465,492
EBIT (UBS) by division (Rmbm)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	2,188	5,897	13,394	43,208	89,117	124,988	142,546	167,475
Total	2,188	5,897	13,394	43,208	89,117	124,988	142,546	167,475

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	62.9%
Forecast dividend yield	0.5%
Forecast stock return	63.3%
Market return assumption	6.8%
Forecast excess return	56.6%

Company Description

Innolight is a global leader in high-speed optical transceivers for AI and cloud data centers. Founded in 2008 in Suzhou, China, the company develops and manufactures optical modules ranging from 100G to 1.6T for leading hyperscale customers. Benefiting from the rapid expansion of AI infrastructure, Innolight has established a strong presence in the 800G and 1.6T markets. Industry data indicate the company has ranked first globally in optical interconnect revenue since 2021, with approximately a 21% global market share in 2025, as per the company.

Valuation Method and Risk Statement

We use target PE methodology to value Innolight.

Downside risks: 1). Changes in the competitive landscape amid technological upgrades; 2). Innolight failing to expand upstream and to maintain its current gross margin; 3). supply chain constraints amid geopolitical tension limiting product shipment capability.

Upside risks: 1) Stronger-than-expected demand for 800G/1.6T products. 2) Progress in 3.2T NPO adoption being better than expected. 3) Benign competition improving the gross margin.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Zhongji Innolight

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	3
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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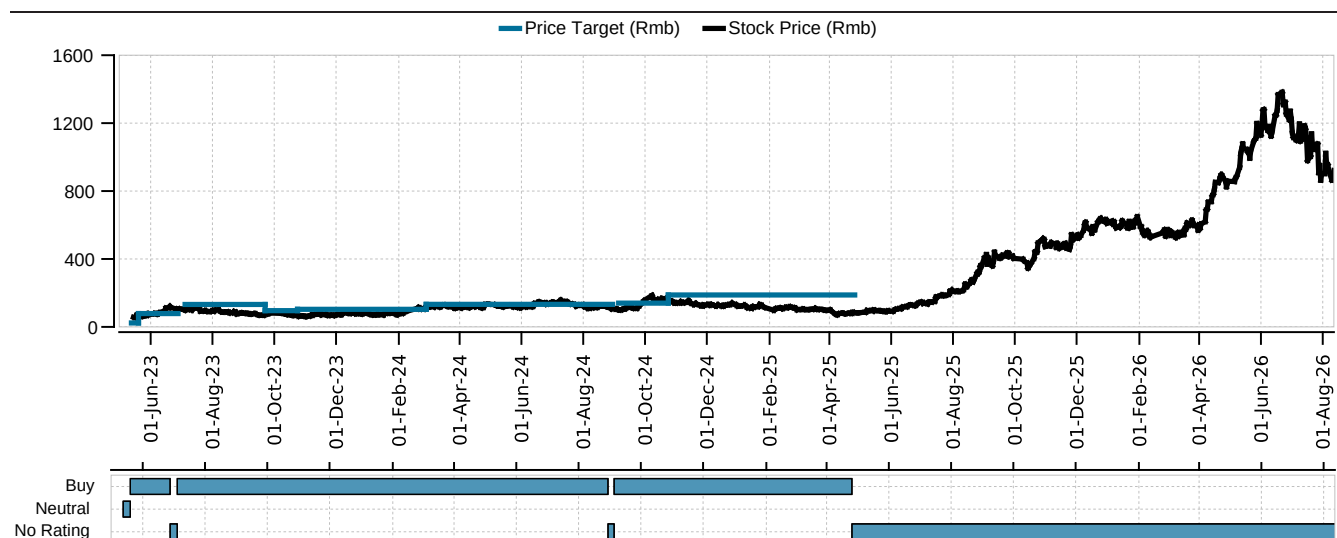
Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Zhongji Innolight	300308.SZ	Suspended	Rmb921.00	12 Aug 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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Zhongji Innolight (Rmb)



Date	Stock Price (Rmb)	Price Target (Rmb)	Rating
2023-05-12	54.16	23.214	Neutral
2023-05-19	66.82	78.571	Buy
2023-06-27	105.14	-	No Rating
2023-07-04	104.66	132.143	Buy
2023-09-21	69.55	95.714	Buy
2023-10-23	68.64	103.571	Buy
2024-02-27	115.67	132.857	Buy
2024-08-29	106.64	-	No Rating
2024-09-04	101.90	140.00	Buy
2024-10-23	156.16	188.00	Buy
2025-04-25	85.27	-	No Rating

Source: UBS Global Research; LSEG Eikon as of 12-Aug-2026. All prices as of local market close. Ratings as of date shown.

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